

Permissionless Perps for Any Token

Letting a market make itself,
instead of paying for liquidity

A working design, shared for feedback.

Opening a tradable futures market on a brand new token is hard for one stubborn reason. Someone has to stand on the other side of every trade. Big venues solve that by paying professional market makers or seeding a deep liquidity pool. A small project launching its own coin usually can't afford either.

Without that depth the market is thin. Prices are easy to push around, fills are poor, and in the worst case the pool that's backing the trades gets drained by someone gaming it. So most new tokens simply never get a real perp market, and the ones that try often blow up.

Memecoins got past this on the spot side with bonding curves. The curve holds everyone's money and can always pay out, so a token can launch and trade with almost nothing seeded. A perpetual is harder, because it is a leveraged bet. When a trader wins, real money has to be there to pay them.

The question this design answers:

can a new project open a safe, tradable perp on its token without buying deep liquidity it doesn't have?

Instead of hiring market makers, an automated pricing curve quotes both sides from the very first block and takes the other side of trades itself. There is no order book to fill and no one to sit there quoting.

The person launching the market puts up a small amount of their own money as a first loss buffer. That buffer, not a deep pool, is what stands behind the trades. The market starts small and safe, and it grows on its own as trading fees accumulate. Other people can add to the buffer later if they want it to support more size.

In plain terms, this turns the deal from "pay ten thousand dollars for liquidity you don't have" into "put up a small, refundable stake and let real demand grow the market."

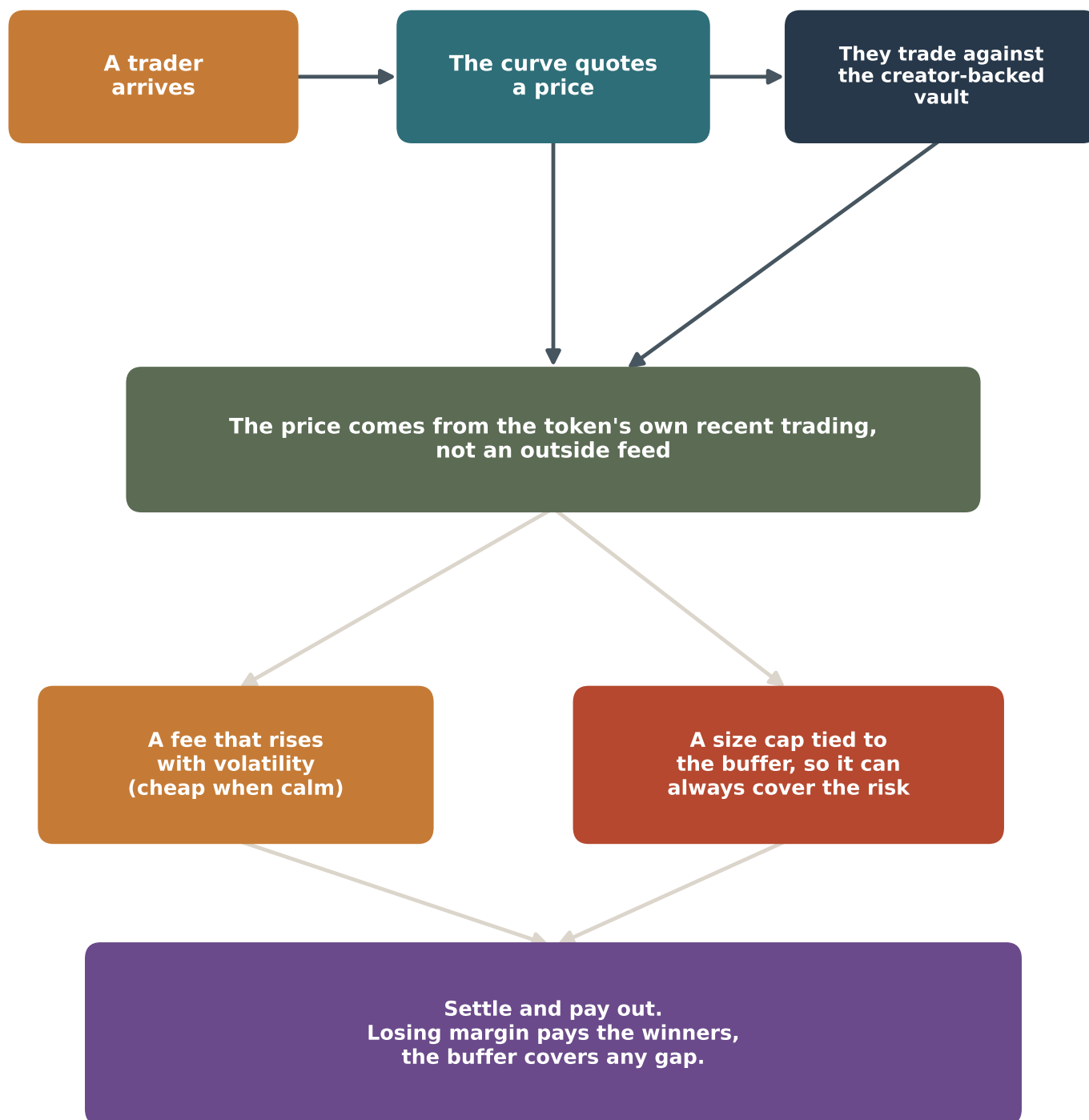
Two parts do two jobs:

- **The curve makes it tradable.**

An internal price and an automated quote let anyone trade instantly, with no market maker.

- **The buffer makes it solvent.**

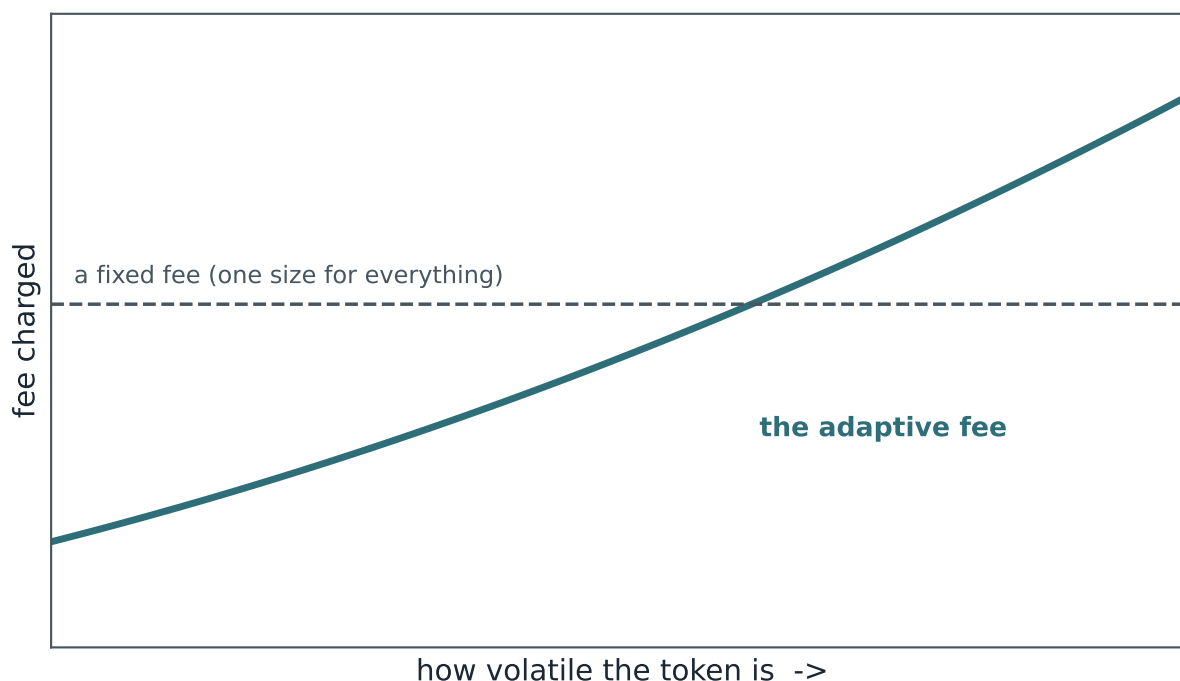
A small creator stake, growing with fees, is the real money behind the trades. The curve does not create that out of thin air.



The curve only sets the price. The price, the fee, the cap, and the payouts all live in the protocol.

Two things have to be true. People need to be able to trade from day one without a market maker, and the curve has to price well enough that it isn't picked off by sharper traders.

The first is what the automated curve is for. The second comes down to the fee. It adapts to how volatile the token is: lower when things are calm, to attract real trading, and higher when things are wild, to protect the buffer. A fixed fee can't do that, and it's the part of the design I'm most confident in.



In testing against a plain fixed fee across many simulated markets, the adaptive version came out a few percent ahead while staying competitive on price. It charges a little more only where the risk actually is, which is also what makes it hard to game.

- **The buffer can't be quietly drained.**

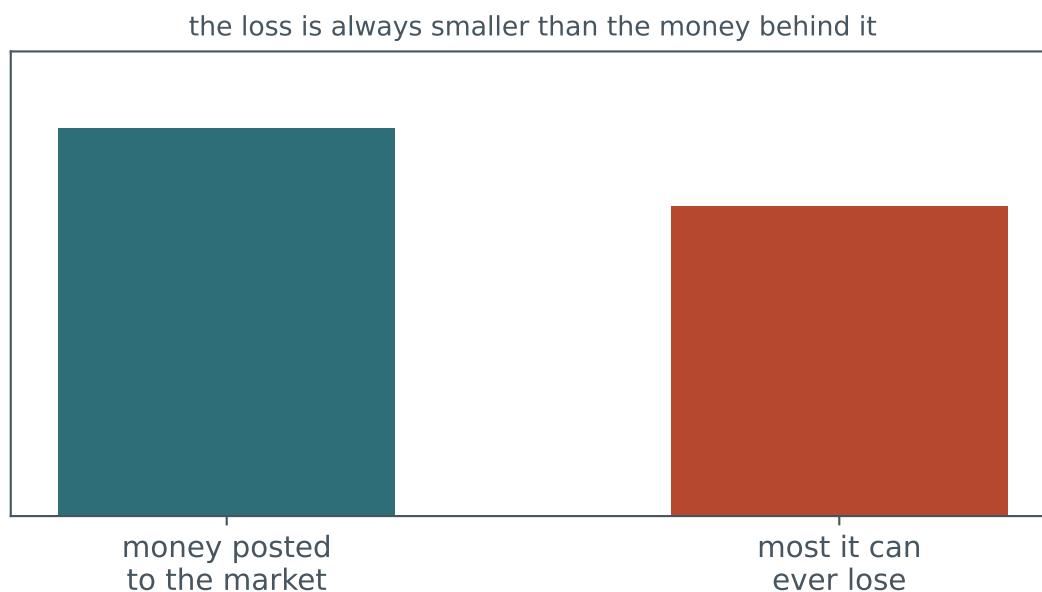
While anyone has a position open, no one can pull the backing out, and the market can never owe more than the money actually sitting in it.

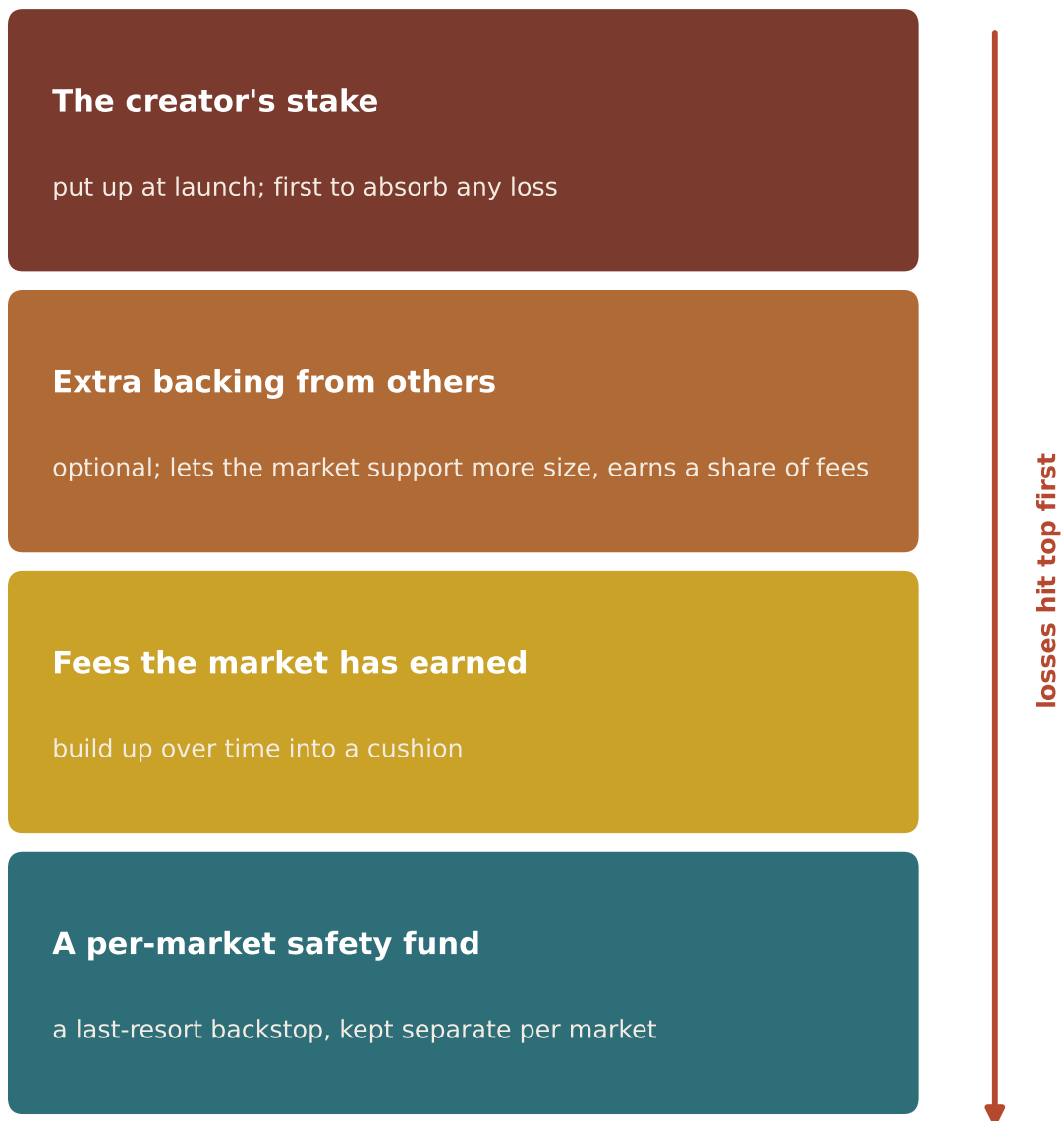
- **Losses are capped.**

The most a market can lose is the capital posted to it, and the creator's own stake is first in line. It can't take down the rest of the platform.

What a trader actually experiences:

In normal conditions a winner closes and takes their full profit, paid by whoever was on the losing side. The only time a winner gets less is an extreme event where the winning claims are larger than the whole buffer. Then everyone is paid the same proportional share, it's visible up front, and it is never a freeze and never zero. That is the same way insurance pools work on every major venue.





The creator underwrites the first loss, so they have skin in the game and won't launch junk markets. Everyone else is protected behind them.

A brand new token

Price

comes from the token's own trading

Safety

payouts capped per period, kept small

Best for

fresh launches, hype and social coins

Feel

small but real, grows with interest

A token with a real price

Price

can use a trusted outside feed

Safety

wider limits as the market proves out

Best for

tokens that already trade somewhere deep

Feel

closer to a normal perp over time

A market can start in the first mode and graduate to the second as it gets real volume and a reliable price.

- **Anyone can open a market.**

No gatekeeper, no listing deal. A project can launch a perp on its own token in minutes.

- **No deep liquidity needed.**

A small first-loss stake replaces a paid market maker. The market funds its own growth from fees.

- **It can't be quietly drained.**

The backing is locked while trades are open, and a market can never owe more than it holds.

- **Manipulation is bounded.**

Pushing the price around is expensive and, in the worst case, the damage is capped at the posted capital.

- **Honest payouts.**

Winners are paid in full in normal conditions, and the rare exception is a clear, proportional share, not a surprise.

- **It grows with success.**

More trading means more fees means a bigger, deeper market, with no one having to pre-fund it.

This is a design I want feedback on, so here is where it is genuinely unfinished. None of these are dealbreakers, but they are the things I would not want to launch without resolving.

- **The loss cap depends on a few pieces being in place.**

A hard limit on how big a market can get for its buffer, the backing locked while positions are open, each market's safety fund kept separate, and the creator's stake spent before anyone else's. Without all of them, a fast crash or a determined attacker can push losses onto backers beyond the creator's stake.

- **Liquidation has to keep up under stress.**

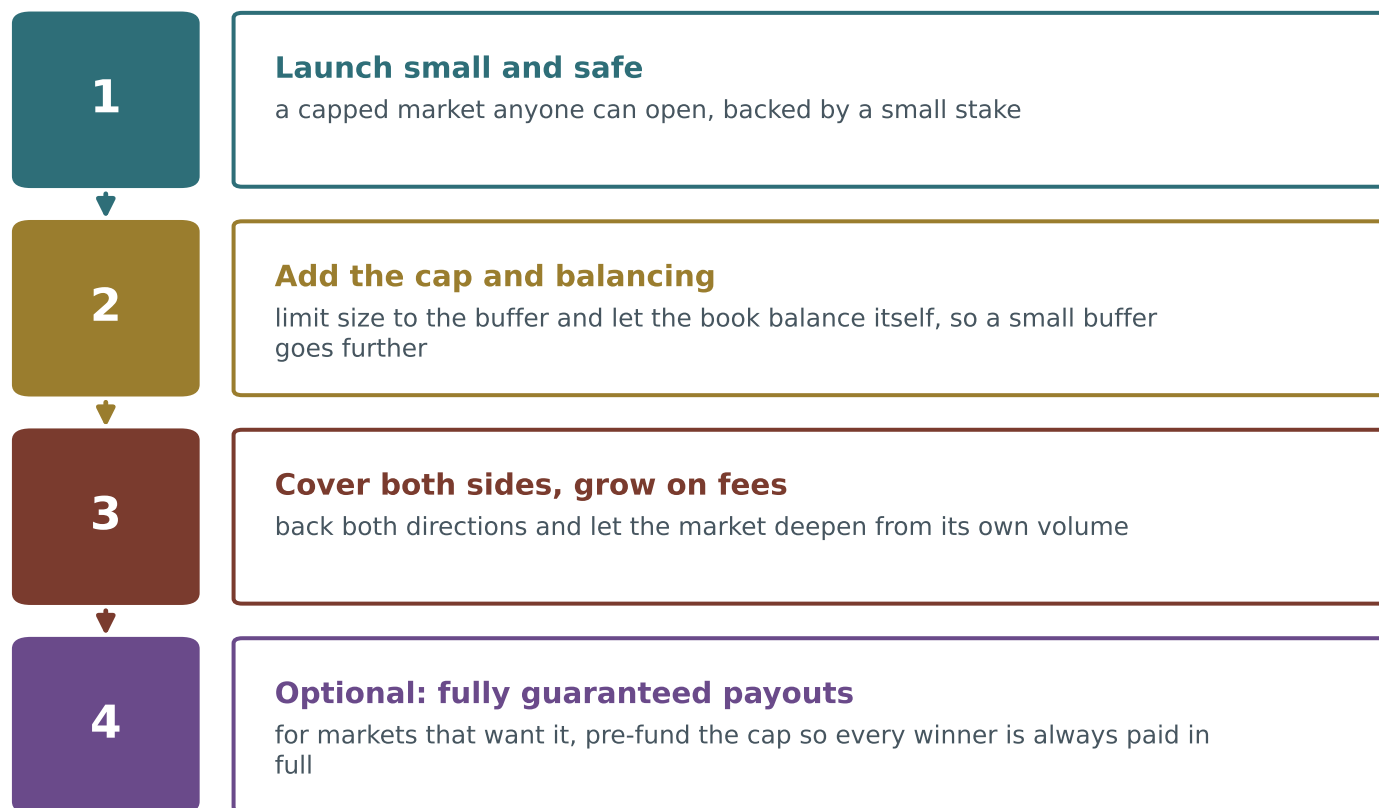
In a fast move with many positions at once, the system has to close them quickly enough. That is an operational problem as much as a design one.

- **The young market's price is easy to move.**

While a market is thin, its internal price can be pushed around cheaply, so other protocols should not rely on it as a price feed until it is deep.

- **"Always paid in full, no matter what" isn't free.**

Guaranteeing every winner an unlimited payout requires the payout capped and fully funded up front, which costs real capital. The cheap version trades a rare, capped haircut for that.



What I'd love your read on:

Is a small first-loss stake the right trade against deep liquidity? For a brand new token, is a capped payout acceptable to traders, or do they expect uncapped upside? Is the liquidation timing risk manageable in practice? And what am I missing on the safety side?